

Daily Task – 11

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Purchase-to-Pay (P2P) :

Summary:

P2P is the process of purchasing goods from a supplier and completing the payment.

Flow:

Request → **PO** → **Invoice** → **Payment**

Request: Company identifies what it needs.

PO: Company formally orders it from the supplier.

Invoice: Supplier bills the company.

Payment: Company pays the supplier.

P2P cycle

REQUEST	PO	INVOICE	PAYMENT
Company identifies a need	Purchase order is issued	Supplier bills the company	Company pays supplier

Goods vs. payment flow



Physical goods move toward the buyer; payment moves toward the supplier.